Farmers fear Coles, Woolworths-style duopoly in Elders' $475m buyout



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Farmers are fearful a duopoly similar to the domination of Coles and Woolworths in supermarkets will emerge in farm supplies should Elders' $475 million buyout of Delta Agribusiness be approved.

The Australian Competition and Consumer Commission has set a fresh date of May 29 for an already-delayed decision on the proposed merger announced in November last year.

Elders, the second-largest seller of crop protection, chemicals and farm supplies, with 245 outlets, is looking to buy Delta, the third-largest operator with about 64 sites. The market leader in Australia is Canadian-owned Nutrien Ag Solutions, which has a market share of more than 40 per cent with its 385 retail sites.



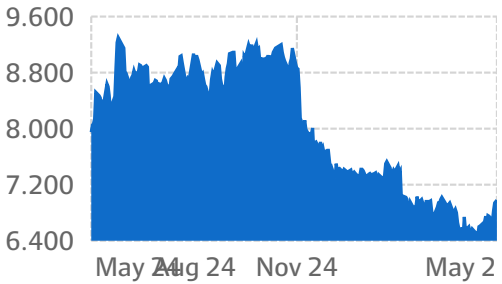
Victorian farmer Andrew Weidemann says combining the second and third biggest players will cause a loss of competition in about 33 locations.

Andrew Weidemann, who runs a farm at Rutanyup near Horsham in south-west Victoria growing wheat, barley and canola, said combining the second and third players

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will cause a loss of competition in about 33 locations.

“It’s actually about competition in the local areas. The Australian farmer wants competition on input costs”.

He is worried that farm supplies will become like supermarket retailing, where he says Coles and Woolworths have enormous power [https://www.afr.com/companies/retail/woolworths-sales-growth-picks-up-in-q3-but-big-w-is-a-massive-worry-20250424-p5ltyj]. “That’s what we’re seeing with the supermarkets and their customers, we’ll also see that with farmers at the local level if this merger goes through.”

Weidemann, the southern director for industry body Grain Producers Australia, said many farmers in southern Australia were facing drought conditions and wanted

input costs to be less expensive. Fertilisers, chemicals and other supplies make up a large portion of farm running costs.

The ACCC had originally set March 13 as the date for a decision on whether it would approve the deal.

Rebecca Riordan, who farms at Moree in NSW, and is vice president of the NSW Farmers organisation, said in many towns there was only an Elders store and a Delta outlet.

“We are very concerned about the further concentration of market share,” Riordan said. “We’re looking at a duopoly situation. We’ve already got that as producers selling into supermarkets”.

A group which oversees independent rural supplies stores, National Rural Independents, is ready for its members to

pick up stores should the competition regulator order divestments as part of the Elders-Delta tie-up [https://www.afr.com/companies/agriculture/agribusiness-group-elders-in-475m-buyout-of-rival-delta-ag-20241115-p5kqyt].

There are several smaller operators with multiple sites, including Norco AgriSolutions, Brown Wigg, Driscoll Ag and Gorst Rural. Norco AgriSolutions is the largest of the smaller players with 27 outlets, while Gorst Rural has five outlets under its banner, as does Driscoll Ag.

Sam Stringer, a national business manager for National Rural Independents, said the smaller operators would look to bring extra sites into their operations if the ACCC demanded forced divestments in certain locations from the Elders-Delta deal.

“We expect fallout and we aim to capitalise.

It's about agility and serving your customers," Stringer said. "Our growth is coming from corporate consolidation. It's certainly an opportunity to build a little more scale".

The share prices of Elders and ASX-listed grain handling and storage company GrainCorp have both dropped about 25 per cent in the past six months, with drought in the southern parts of Australia dampening investor expectations.

GrainCorp is set to report half-year results on Thursday, with Elders reporting on May 26.

Belinda Moore, analyst with stockbroking house Morgans, said it was a mixed picture across the country, with drought conditions in South Australia, western Victoria and southern NSW, but that it was not an Australia-wide drought.

“This issue has been weighing on the share prices, so have geopolitical and tariffs risks,” she said.

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